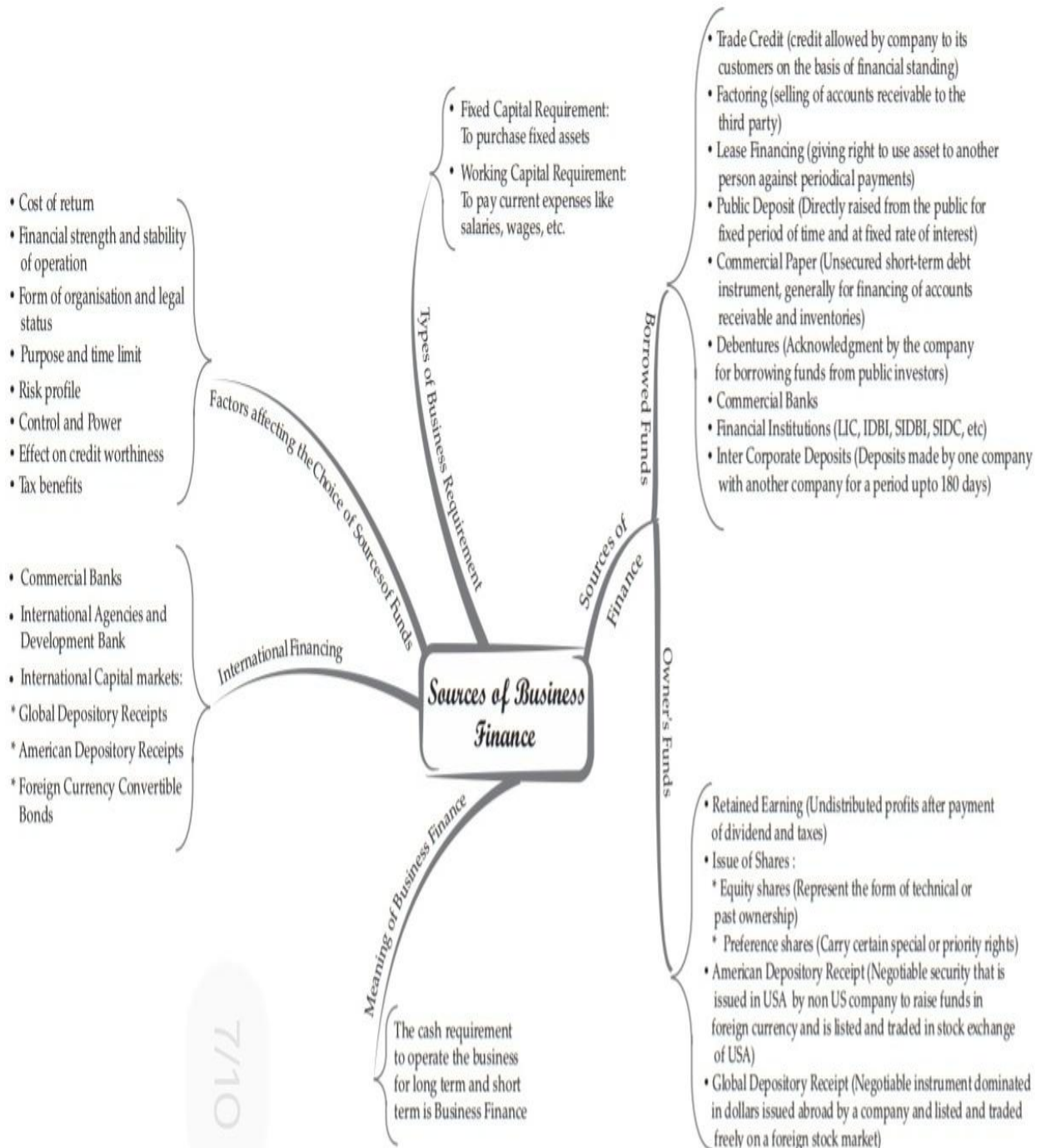


PART B: FINANCE AND TRADE

CH - 07: SOURCES OF BUSINESS FINANCE

(MIND MAP)



LEARNING OBJECTIVES:

- *Meaning, Nature & Importance of Business Finance.*
- *Meaning & Classification of Owners' Funds.*
- *Meaning & Classification of Borrowed Funds.*
- *Difference between Owners' Funds & Borrowed Funds.*

Concept of Business Finance:

The term finance means money or fund. The requirements of funds by business to carry out its various activities is called business finance. Finance is needed at every stage in the life of a business. A business cannot function unless adequate funds are made available to it.

Significance of Business Finance:

- To purchase plant and machinery, land, buildings and other fixed assets.
- Smooth functioning of day to day operations of the business
- Expansion.

Need of Business Finance:

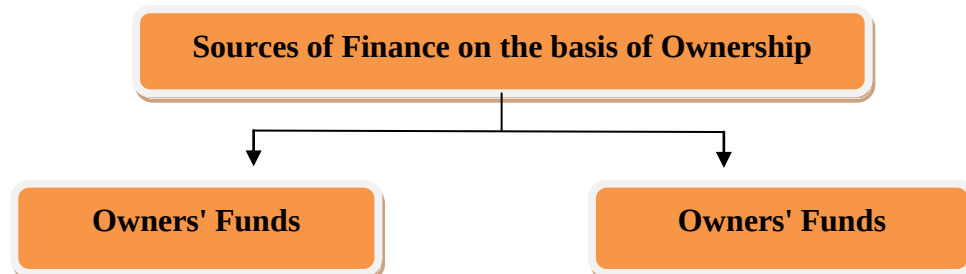
(a) Fixed Capital Requirement: In order to start a business, funds are needed to purchase fixed assets like land and building, plant and machinery. The funds required in fixed assets remain invested in the business for a long period of time.

(b) Working Capital Requirement: A business needs funds for its day to day operation. This is known as Working Capital requirements. Working capital is required for purchase of raw materials, to pay salaries, wages, rent and taxes.

(c) Diversification: A company needs more funds to diversify its operation to become a multi-product company e.g. ITC.

(d) Technology upgradation: Finance is needed to adopt modern technology for example uses of computers in business.

(e) Growth and expansion: Higher growth of a business enterprise requires higher investment in fixed assets. So, finance is needed for growth and expansion.



Sources of Finance on the basis of Ownership:

A. Owners' Funds and B. Borrowed Fund.

A. Owners' Fund: Funds provided by the owners of the organisation are known as Owners' Funds. It includes profits that are reinvested into the business. The important sources of owners' funds are:

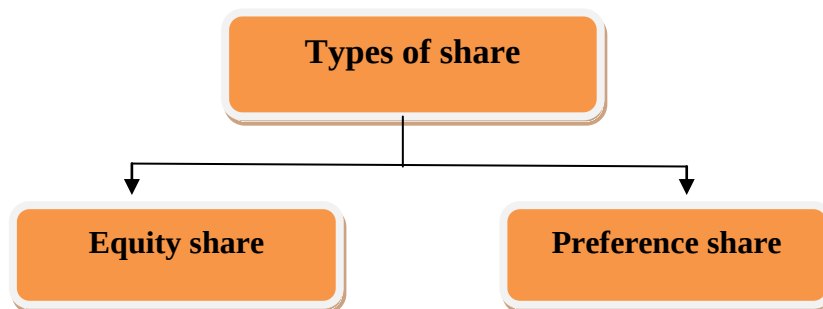
1. Equity shares.
2. Preference Shares Retained earnings.
3. Retained Earnings.
4. GDR (Global Depository Receipt).
5. ADR (American Depository Receipt).
6. IDR (Indian Depository Receipt).

B. Borrowed Funds: These are the funds raised through loans and borrowings. This source includes raising funds from

1. Debentures.
2. Loans from financial institutions.
3. Loans from commercial Banks.
4. Public deposits.
5. Trade credit.
6. Inter Corporate deposits (ICD).

Issue of Share (Owner's Fund - Long-term Source of Finance):

The capital obtained by issue of shares is known as share capital. The capital of a company is divided into small units called share. If a company issue 10,000 shares of ₹ 10/- each then the share capital of company is ₹ 1, 00,000. The person holding the share is known as shareholder.



1. Equity Share:

Equity shares represent the ownership of a company. They have right to vote and right to participate in the management. In the year 2000, an amendment was made in Companies Act permitting companies to issue two categories of equity shares.

- (i) Equity shares with equal rights.
- (ii) Equity shares with differential rights as to dividend.

Merits:

- (a) **Permanent Capital:** Equity share capital is important source of finance for a long term.
- (b) **No charge on assets:** For raising funds by issue of equity shares a company does not need to mortgage its assets.
- (c) **Higher returns:** Equity share holder get higher returns in the years of high profits.
- (d) **Control:** They have right to vote and right to participate in the management.
- (e) **No burden on company:** Payment of equity dividend is not compulsory.

Limitations:

- (a) **Risk:** Equity shareholder bear higher risk because payment of equity dividend is not compulsory.
- (b) **Higher Cost:** Cost of equity shares is greater than the cost of preference share.
- (c) **Delays:** Issue of Equity shares is time consuming.
- (d) **Issue depends on Share Market Conditions:** Equity Shareholders are the primary risk bearer therefore the demand of equity shares is more in the boom time.

2. Preference Share(Owner's Fund - Long-term Source of Finance):

Preference shares are considered safer in investment (as compare to equity shares). They receive dividend at a fixed rate. Preference shareholder are like creditors. They have no voting right.

Merits:

- (a) **Investment is safe:** Preference shareholders investment is safe. They have preferential right to claim dividend and capital.
- (b) **No Charge on assets:** The Company does not need to mortgage its assets for issue of preference shares.
- (c) **Control:** It does not affect the control of equity share holders because they have no voting right.
- (d) **Fixed dividend:** They get fixed dividend. So, they are useful for those investors who want fixed rate of return.
- (e) **Hybrid Security:** The Preference Shares are called hybrid securities, as these shares have the features of equity shares as well as features of debentures.

Limitations:

- (a) **Costly sources of funds:** Rate of preference dividend is greater than rate of interest on debenture, for a company it is costly source of funds than Debentures.
- (b) **No tax saving:** Preference dividend is not deductible from profit for income tax. Therefore, there is no tax saving.
- (c) **Not suitable for risk takers:** Preference shares are not suitable for those who are willing to take risk for higher return.
- (d) As dividend on these shares is to be paid only when the company earns profit, so investors may not be very attractive to these.

Difference between Equity Shares and Preference Shares

Base	Equity Shares	Preference Shares
1. Dividend	After preference shares	Priority over equity share
2. Voting Right	Dividend is paid full voting rights.	No voting right.
3. Risk	Risk bearing securities	Less risk
4. Rate of Return	Fluctuates with profit	Fixed Rate of dividend
5. Control	Control on the management.	No control on the management.

3. Retained Earnings (Owner's Fund- Long-term Source of Finance):

When a company earns profit, a certain amount or percentage of those profits is retained within the business for future use and this is known as Retained Earnings. When the business is financed through this source it is known as ploughing back of profit or internal financing.

Merits:-

- (a) Permanent source of funds.
- (b) No explicit cost involved in the form of dividend or interest.
- (c) Greater degree of operational flexibility and freedom.
- (d) Enhances the unexpected loss absorption capacity of the business.
- (e) May lead to an increase of the market price of the company's equity shares.

Limitations:-

- (a) Excess retention of profits may lead to dissatisfaction among shareholders.
- (b) Since the profits keep on fluctuating, it is an uncertain source of funds.
- (c) Opportunity cost remains unrecognized so it may lead to sub-optimal use of funds.

B. Borrowed Funds:

1. Debentures/Bonds (Borrowed Fund- Long-term Source of Finance)

It is an important source of raising funds or long term debt capital. It bears a fixed rate of interest. Debenture holders are the creditors of the company.

Merits:

- (a) **Investment is Safe:** Debentures are preferred by those investor who do not want to take risk and interested in fixed income.
- (b) **Control:** Debenture holder does not have voting right. No control over the management.
- (c) **Less Costly:** Debentures are less costly as compared to cost of preference shares.
- (d) **Tax Saving:** Interest on Debentures is a tax deductible expense. Therefore, there is a tax saving.

Limitation:

- (a) **Fixed Obligation:** There is a greater risk when there is no earning because interest on debentures has to be paid if the company suffers losses.
- (b) **Charge on assets:** The Company has to mortgage its assets to issue secured Debentures.
- (c) **Reduction in Credibility:** With the new issue of debentures, the company's capability to further borrow funds reduces.

Difference between Shares and Debentures

Base	Shares	Debentures
1. Nature	Shares are the capital.	Debentures are a loan.
2. Return	Dividend.	Interest.
3. Voting Right	Full voting right.	No voting right.
4. Holder	Owner is called shareholder.	Creditor.
5. Types	There are two types of shares.	More than two types.
6. Security	Not secured by any charge.	Secured and generally carry a charge on the assets of the company.

2. Loan from Financial Institutions (Borrowed Fund- Long-term Source of Finance):

The state and central government have established many financial institutions to provide finance to companies. They are called development Bank. These are IFCI, ICICI, IDBI, LIC and UTI. etc.

Merits:

- (a) Long term Finance:** Financial Institution provides long term finance which is not provided by Commercial Bank.
- (b) Managerial Advice:** They provide financial, managerial and technical advice to business firm.
- (c) Easy installments:** Loan can be made in easy installments. It does not prove to be much of a burden on business.
- (d) Easy availability:** The funds are made available even during periods of depression.

Limitations:

- (a) More time Consuming:** The procedure for granting loan is time consuming due to rigid criteria and many formalities.
- (b) Restrictions:** Financial Institution place restrictions on the company's board of Directors.

3. Loan from Commercial Banks (Borrowed Fund- Short & Medium-term Finance):

Commercial Banks give loan and advances to business in the form of cash credit, overdraft loans and discounting of Bill. Rate of interest on loan is fixed.

Merits:

- (a) Timely financial assistance:** Commercial Bank provides timely financial assistance to business.
- (b) Secrecy:** Secrecy is maintained about loan taken from a Commercial Banks.
- (c) Easier source of funds:** This is the easier source of funds as there is no need to issue prospectus for raising funds.

Limitations:

- (a) Short or Medium term finance:** Funds are not available for a long time.
- (b) Charge on assets:** Required source security of assets before a loan is sanctioned.

4. Public Deposits (Borrowed Fund- Medium-term Finance):

The deposits that are raised by company direct from the public are known as Public Deposits. The rate of interest offered on public deposits is higher than the rate of interest on bank deposits. This is regulated by the R.B.I. and cannot exceed 25% of share capital and reserves.

Merits:

- (a) No charge on assets:** The Company does not have to mortgage its assets.
- (b) Tax Saving:** Interest paid on public deposits is tax deductible, hence there is tax saving.
- (c) Simple procedure:** The procedure for obtaining public deposits is simpler than share & Debenture.
- (d) Control:** They do not have voting right therefore the control of the company is not diluted.

Limitations:

- (a) For Short Term Finance:** The maturity period is short. The company cannot depend on them for long term.
- (b) Limited fund:** The quantum of public deposit is limited because of legal restrictions 25% of share

capital and free reserves.

(c) Not Suitable for New Company: New Company generally find difficulty to raise funds through public deposits.

5. Trade Credit (Borrowed Fund- Short-term Finance):

It refers to the extension and provision of credit by one trader to another for the purchase of goods and services, or other supplies without on the spot payment. This is generally used by organizations as short term financing. The terms of trade credit may vary from person to person based on past records and from industry to industry based on industry norms.

Merits:

- (a) A continuous and a convenient source of funds.
- (b) It is readily available if credit worthiness is known to the seller.
- (c) It helps in increasing the inventory levels in case of increase in sales volume.
- (d) While providing funds. It does not create a charge on assets of the firm.

Limitations:

- (a) There can be chances of over-trading.
- (b) Fulfills only limited financial needs.
- (c) Costly in comparison to few other sources.

6. Inter-Corporate Deposits (ICD) (Borrowed Fund- Short-term Finance):

Inter-Corporate Deposits are unsecured short term deposits made by one company with another company. These deposits are essentially brokered deposits, which led the involvement of brokers. The rate of interest on their deposits is higher than that of banks and other markets. The biggest advantage of ICDS is that the transaction is free from legal hassles.

Type of ICDS:-

- (i) Three Months Deposits:-** These deposits are most popular type of ICDS. These deposits are generally considered by borrowers to solve problems of short term capital adequacy. The annual rate of interest for these deposits is around 12%.
- (ii) Six months Deposit: -** It is usually made first class borrowers. The annual rate of interest for these deposits is around 15%
- (iii) Call deposits: -** This deposit can be withdrawn by the lender on a day's notice. The annual rate of interest on call deposits is around 10%

Features of ICDS:

- (a) These transactions take place between two companies.
- (b) There are short term deposits.
- (c) These are unsecured deposits.
- (d) These transactions are generally completed through brokers.
- (e) These deposits have no organized market.
- (f) These deposits have no legal formalities.
- (g) These are risky deposits from the point of view of lenders.

Factors affecting the choice of the source of funds:

The choice of source of funds greatly depends upon various factors like:

(a) Cost of finance: The source of funds generally bears two types of costs namely:

- (i) The cost of procurement of funds
- (ii) Cost of utilisation of funds.

Both these costs are to be strongly analyzed before deciding which source to consider.

(b) Financial Position: Business should be in a sound position to repay the borrowed funds. In case when the company is not in a very good position to pay, those sources should be selected which do not become a financial burden to the company.

(c) Form of business organization: Raising of funds strongly depends upon the form of business a company undertakes. For example, in case it is a sole proprietorship it cannot issue equity shares.

(d) Time period: It is important for an organisation or a business to choose the funds requirement as per the time period that whether it is required for a short period of time or a longer period and then raise funds accordingly from the market.

(e) Risk factors: A strong analysis of the risk involved in each source of fund should be carefully analysed. The source that has the least risk should be selected. For example, equity is less risky as compared to loans in respect to financial risk that arises from fixed interest payments and repayment aspects.

(f) Dilution of Control: The choice of what source from which financing has to be procured also depends upon the extent to which firm is ready for the dilution of control. Such as if existing equity shareholders aren't willing to dilute the control they enjoy, in such a case the company may issue finance from source other than equity share capital.

(g) Credit worthiness: The type of sources from which the firm raises its capital impacts its credit worthiness. Hence the firm should choose sources which do not adversely affect its credit worthiness in the market.

(h) Ease of issuance of finance: The flexibility and ease with which the firm is able to procure finance also affects the choice of source of finance. Excessive documents, legal restrictions, heavy investigation and other reasons may discourage the company from using a particular source of finance.

(i) Tax Advantages: Some sources of finance are tax deductible, and hence firms can enjoy tax advantage using those sources. For example interest on debentures is a tax deductible expense; hence firms wanting to enjoy tax benefits may go for these sources.

USEFUL LINKS:

https://diksha.gov.in/play/collection/do_31310347535117516811487?contentType=TextBook

<https://ncert.nic.in/textbook/pdf/kebs108.pdf>

https://diksha.gov.in/play/collection/do_31310347535117516811487?contentId=do_3129856_265129410561112

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https://youtu.be/zMwhcJ_T3jI



SELF ASSESSMENT:

1. What do you mean by ploughing back of profits?
2. List the documents required for the incorporation of a company.
3. Name the return given to debenture holders for using their funds.
4. What preferential rights are enjoyed by preference shareholders?
5. State various international sources from where the funds can be generated.
6. Explain the steps taken by promoters in the promotion of a company.

----- **END OF CHAPTER** -----